

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 HOUSE BILL 3625

 By: Lay of the House

5 and

6 **Rader** of the Senate

7
8 AS INTRODUCED

9 An Act relating to schools; amending 70 O.S. 2021,
10 Section 5-115, which relates to investment of funds;
11 modifying provisions related to authorized
12 investments; providing an effective date; and
13 declaring an emergency.

14 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

15 SECTION 1. AMENDATORY 70 O.S. 2021, Section 5-115, is
16 amended to read as follows:

17 Section 5-115. A. Unless the context clearly shows otherwise,
18 the term "treasurer", as used in this section, includes a county
19 treasurer acting as the treasurer of a school district pursuant to
20 the provisions of Section 5-114 of this title. The treasurer so
21 appointed shall execute, before entering upon the duties of the
22 office of the treasurer, a surety bond in an amount which it is
23 estimated by the board of education the treasurer will have on hand
24 at any one time during the current year, and the amount of

1 securities held as investments shall not be considered. The board
2 of education is empowered to require the treasurer to increase or
3 decrease the bond of the treasurer as the amount of funds on hand
4 may require. Provided, the bond of a school district shall not, in
5 any event, be required to be in an amount greater than that of the
6 county treasurer of the county. The premium on the bond shall be
7 paid by the board of education out of district funds. Provided,
8 however, the treasurer of such district shall require the depository
9 wherein school district funds are deposited to insure or guarantee
10 the deposit by proper securities, which shall be of the same class
11 of securities as are required to insure deposits of county
12 treasurers of the various counties, and the securities shall be
13 pledged, taken and kept in the manner provided by Sections 517.1
14 through 517.7 of Title 62 of the Oklahoma Statutes.

15 B. In all districts which are permitted by law to select a
16 local treasurer, the county treasurer shall act as treasurer thereof
17 until such time as a local treasurer shall be appointed and has
18 executed the surety bond required by this section. In no instance
19 in which the county treasurer is the treasurer of any school
20 district shall any additional bond be required, but the official
21 bond of the county treasurer shall stand for any and all funds and
22 securities coming into the hands of the county treasurer.

23 C. The local treasurer of a district, when required by the
24 board of education, shall prepare and submit in writing a report of

1 the condition of the finances of the district and shall produce at
2 any meeting of the board or to any committee appointed for the
3 purpose of examining the accounts of the treasurer all books and
4 papers pertaining to the office of the treasurer. Upon failure to
5 make reports as provided for herein or as may otherwise be required
6 by law, the board may at any regular or special meeting thereof
7 summarily suspend the treasurer, and while so suspended the
8 treasurer shall perform no act pertaining to the office of the
9 treasurer. Such suspension shall continue until ended by order of
10 the board or by judgment of a court of competent jurisdiction.

11 D. The local treasurer of a school district shall keep a
12 separate cash ledger for each fund in the custody of the treasurer.
13 The local treasurer shall enter each collection and disbursement in
14 the cash ledger of the applicable fund by recording the date and
15 classification of each transaction and such other information as may
16 be deemed desirable. Additional ledgers shall also be maintained to
17 record the investments made from each fund. Such investment ledgers
18 shall disclose the date, description and principal amount paid for
19 each investment purchased and the date and principal amount received
20 for each investment liquidated.

21 E. Upon suspension by the board, the treasurer shall
22 immediately turn over to the board of education or to the acting
23 treasurer if one has been appointed by the board, all books and
24 papers and other property pertaining to the office of the treasurer.

1 F. Except as otherwise provided by law, no treasurer of any
2 district shall pay out school district funds in the care of the
3 treasurer except upon warrants signed by the proper school district
4 officials authorized by the law to sign such warrants, provided,
5 this restriction shall not apply to sinking funds or to the
6 investment of school district funds. Authorized sinking fund
7 payments and payment for investments or receipt of liquidated
8 investments may be made by check, wire transfer or other instrument
9 or method through the Federal Reserve System.

10 G. The board of education shall, each month, set aside funds to
11 an operating account and to an investment account. Investments by
12 the treasurer shall be made in accordance with a written policy
13 adopted by the board of education. The written investment policy
14 shall address liquidity, diversification, safety of principal,
15 yield, maturity, quality of the instrument, and capability of
16 investment management. Acting within the investment policy, the
17 treasurer shall place primary emphasis on safety and liquidity in
18 the investment of funds. Taking into account the need to use sound
19 investment judgment, school districts shall, to the extent
20 practicable, use competitive bids when they purchase direct
21 obligations of the United States Government or other obligations of
22 the United States Government, its agencies or instrumentalities.
23 Such system shall be designed to maximize yield within each class of
24 investment instrument, consistent with the safety of the funds

1 invested. The board of education must review the investment
2 performance of the treasurer on a regular basis and no less than
3 each month. The treasurer of every school district shall invest the
4 full amount of the investment account in:

5 1. Direct obligations of the ~~United States Government to~~
6 federal government the payment of which the full faith and credit of
7 the ~~Government of the United States~~ federal government is pledged;
8 provided, a treasurer of a school district who has completed the
9 program pursuant to the provisions of subsection H of this section
10 may invest funds in the investment account in other obligations of
11 the ~~United States Government~~ federal government, its agencies or
12 instrumentalities, federal agencies or federal-government-sponsored
13 enterprise obligations, participations, or other instruments,
14 including those issued by or fully guaranteed as to principal and
15 interest by federal agencies or federal-government-sponsored
16 enterprises;

17 2. Obligations, to the payment of which the full faith and
18 credit of this state is pledged, or investment grade obligations of
19 state agencies, authorities, or instrumentalities rated A+ or better
20 by Standard and Poor's Corporation and Fitch Ratings or A1 or better
21 by Moody's Investors Service or equivalent by another securities
22 rating organization;

23 3. ~~Certificates~~ Collateralized or insured certificates of
24 deposits of banks or credit unions located within the state and

1 located outside of the state when such certificates of deposits are
2 secured by acceptable collateral ~~as in the deposit of other public~~
3 ~~monies;~~

4 4. Negotiable certificates of deposit issued by a nationally or
5 state-chartered bank, a savings bank, a savings and loan
6 association, or a state-licensed branch of a foreign bank;

7 5. Savings accounts or savings certificates of ~~savings and loan~~
8 ~~associations~~ banks or credit unions where the funds are either
9 secured or acceptable collateral or savings and loan associations
10 to the extent that such accounts or certificates are fully insured
11 by the Federal ~~Savings and Loan~~ Deposit Insurance Corporation.
12 ~~Provided, that the income received from the investments may be~~
13 ~~placed in the general fund of the governmental subdivision to be~~
14 ~~used for general governmental operations~~ or the National Credit
15 Union Administration;

16 5. ~~Repurchase agreements that have underlying collateral~~
17 ~~consisting of those items specified in paragraphs 1 and 2 of this~~
18 ~~subsection including obligations of the United States, its agencies~~
19 ~~and instrumentalities, and where the collateral has been deposited~~
20 ~~with a trustee or custodian bank in an irrevocable trust or escrow~~
21 ~~account established for such purposes;~~

22 6. County Direct debt obligations of county, municipal or
23 ~~school district~~ districts or their authorities direct debt
24 obligations for which an ad valorem tax may be levied or paid by

1 bond and revenue anticipation notes, and of money judgments against
2 ~~such a~~ county, municipality or school district ~~ordered paid~~ by a
3 ~~court of record or~~ bonds or bond and revenue anticipation notes
4 issued by a public trust ~~for~~ of which ~~such~~ the county, municipality
5 or school district is a beneficiary thereof. All collateral pledged
6 to secure public funds shall be valued at no more than market value.
7 The income received from an investment may be placed in the general
8 fund of the governmental subdivision to be used for general
9 governmental operations, the sinking fund, the building fund, or the
10 fund from which the investment was made;

11 7. ~~Money market mutual funds regulated by the Securities and~~
12 ~~Exchange Commission and which investments consist of obligations of~~
13 ~~the United States, its agencies and instrumentalities, and~~
14 ~~investments in those items and those restrictions specified in~~
15 ~~paragraphs 1 through 6 of this subsection~~ Prime banker's acceptances
16 which are eligible for purchase by the Federal Reserve System and
17 which do not exceed two hundred seventy (270) days' maturity;
18 provided, purchase of prime banker's acceptances shall not exceed
19 ten percent (10%) of the surplus funds of the school district which
20 may be invested according to this section; provided further, the
21 restrictions of this paragraph shall not apply to purchases of prime
22 banker's acceptances by qualified pool investment programs
23 established under paragraph 12 of this subsection;
24

1 8. Prime commercial paper with a rating of A-1,P-1/F-1 which
2 shall not have a maturity that exceeds two hundred seventy (270)
3 days nor represent more than ten percent (10%) of the outstanding
4 paper of an issuing corporation. Purchases of prime commercial
5 paper shall not exceed seven and one-half percent (7 1/2%) of the
6 surplus funds of the school district which may be invested pursuant
7 to this section, however, the restrictions in this paragraph shall
8 not apply to purchases of prime commercial paper by qualified pooled
9 investment programs established under paragraph 12 of this
10 subsection;

11 9. Repurchase agreements that have an underlying collateral
12 consisting of those items specified in paragraphs 1 through 8 of
13 this subsection;

14 ~~8.~~ 10. Warrants, bonds or judgments of the school district;

15 11. Money market funds regulated by the United States
16 Securities and Exchange Commission and which investments consist of
17 those items and those restrictions specified in paragraphs 1 through
18 9 of this subsection;

19 ~~9.~~ 12. Qualified pooled investment programs, the investments of
20 which consist of those items specified in paragraphs 1 through ~~8~~ 10
21 of this subsection, as well as obligations of the United States
22 agencies and instrumentalities, regardless of the size of the
23 district's budget. To be qualified, a pooled investment program for
24 school funds must be governed through an interlocal cooperative

1 agreement formed pursuant to Section 5-117b of this title, and the
2 program must competitively select its investment advisors and other
3 professionals. Any pooled investment program used must be approved
4 by the board of education; or

5 ~~10.~~ 13. Investment programs administered by the State
6 Treasurer.

7 H. The board of education is hereby empowered to require the
8 treasurer to satisfactorily complete an investment education program
9 approved by the State Board of Education and the State Board of
10 Career and Technology Education. Such program shall be designed to
11 allow treasurers to make informed decisions regarding the safety,
12 return, liquidity, costs and benefits of various investment options
13 allowed under this section.

14 I. The income received on an investment may be placed in the
15 fund from which the investment was made, the general fund, the
16 building fund, or the sinking fund.

17 SECTION 2. This act shall become effective July 1, 2026.

18 SECTION 3. It being immediately necessary for the preservation
19 of the public peace, health or safety, an emergency is hereby
20 declared to exist, by reason whereof this act shall take effect and
21 be in full force from and after its passage and approval.

22
23 COMMITTEE REPORT BY: COMMITTEE ON GOVERNMENT OVERSIGHT, dated
24 03/05/2026 - DO PASS, As Amended and Coauthored.